

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

**MOTION TO DISMISS THE COMPLAINT IN ITS ENTIRETY,
OR AS TO COUNT V IN THE ALTERNATIVE FOR SUMMARY DISPOSITION**

Pursuant to Rules 12, 69 and 70 of the Commission’s Rules of Procedure, 46 C.F.R. §§ 502.12, 502.69, and 50270, Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) files this motion to dismiss the Complaint in its entirety. None of the claims in the Complaint states a claim, and to the extent there is any doubt on the matter it has been dispelled by concessions by Complainant as to the scope of its claims establishing that they raise, at most, breach of contract claims over which the Commission does not have jurisdiction. The Complaint should thus be dismissed or, at a minimum, the claims at issue can be significantly narrowed.¹

¹ As this motion was being finalized for filing, MSC’s counsel received a communication from Complainant’s counsel asking for consent to the filing of an amended complaint “which would not introduce any additional respondents or causes of action, but instead would apply MCS Industries’ existing causes of action to the 2020-2021 shipping year as well as the current one.” Email from M. Reynolds, Dec 23, 2021, 12:45 PM. This would expand the limited temporal scope of the current dispute from four months to sixteen months, and apparently expand the geographic scope dramatically as well. If, as stated, the causes of action are the same in the proposed amended complaint as in the current complaint, it would be subject to dismissal on the same grounds as stated herein, and any motion to amend would have to be denied as futile. If Complainant chooses not to stand on its current complaint, MSC will thus oppose the motion to amend as futile on the grounds stated herein, adding anything in its opposition necessary to deal with changes made in the amended complaint to try to rehabilitate the current one.

This motion does not seek a stay of discovery, which will continue under Your Honor's December 8, 2021 Order, with the understanding that discovery should be completed within three months as provided in Your Honor's December 21, 2021 Order. Rather, the motion presents legal issues that were not considered in the December 8 Order, and that can be resolved independently of ongoing discovery in the case, in the expectation that the case can be resolved or significantly streamlined going forward.

Counts I and II of the Complaint are inherently breach of contract claims over which the Commission has no jurisdiction, as is a portion of Count V. Subject matter jurisdiction must be considered before other substantive matters, *see* Fed. R. Civ. P. 12(h)(3); *Ramming v. United States*, 281 F.3d 158, 161 (5th Cir. 2001), and “the party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter jurisdiction.” *Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC*, 2019 WL 5206007 (FMC Dkt. No. 18-07), at *2 (ALJ Oct. 8, 2019). The Commission's Rules of Procedure follow Fed. R. Civ. P. 12 as to motions to dismiss, both as to subject matter jurisdiction and failure to state a claim. *See id.* at 2-3 (noting that a party may raise a lack of subject matter jurisdiction under Rule 12(b)(1) and failure to state a claim under Rule 12(b)(6) and following the standards under the federal rules for each); *see also Arbaugh v. Y H Corp.*, 546 U.S. 500, 506-07 (2006)(subject matter jurisdiction may be raised by a party or on the court's own initiative “at any stage in the litigation,” and the objection that a complaint fails to state a claim upon which relief can be made in any pleading or by motion “up to, but not beyond, trial on the merits.”).

MSC respectfully submits that consideration of the legal issues presented in this motion will assist in allowing for the efficient completion of discovery in a timely manner. MSC acknowledges that in many cases it may be more efficient to brief a proceeding once discovery is

complete, but in this case significant and dispositive legal issues have not been squarely presented and decided. The current posture of the case allows them to be considered more cleanly than at the outset of the proceeding, and without reference to or the need for any further discovery.

MSC discusses next each of the five claims in the Complaint, beginning with Count II which expressly pleads a breach of contract claim.

I. COUNT II OF THE COMPLAINT MUST BE DISMISSED AS IT STATES A PURE BREACH OF CONTRACT CLAIM

Count II alleges a violation of 46 U.S.C. § 41104(a)(2) for failure to operate in accordance with a filed agreement. Section 41104(a)(2)(A) makes it unlawful for common carriers to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under [46 U.S.C. §§ 40501-03], unless excepted or exempted . . .” Count II fails to state a claim within the Commission’s jurisdiction on several levels.

The prohibitions included in 46 U.S.C. § 41102(a)(2) and its predecessor provisions in the Shipping Act are “intended to maintain the integrity of the common carrier tariff and service contract systems” by requiring filing of tariffs and service contracts with the Commission for carriers operating under such contracts. *See* S. Rep. No. 61, 105th Cong., 1st Sess., at 27 (1998). They are not intended to interpose the Commission in contractual disputes under filed service contracts. This is confirmed by 46 U.S.C. § 40502(f), which is one of the provisions referenced in § 41104(a)(2). Section 40502(f), formerly contained in Section 8(c) of the Act, expressly provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” The “failure to operate in accordance with a filed agreement” prohibited in § 41104(a)(2) cannot encompass a mere failure to abide by the terms of a filed service contract, or § 40502(f) would be read entirely out of the Act.

The Complaint does not allege that MSC is engaged in a liner trade that is not covered by a filed and effective tariff or service contract. Rather, Complainant acknowledges that it and MSC entered into a written service contract as defined by 46 U.S.C. § 40102(21). *See* Complaint ¶ 9 & n.1. Count II explicitly identifies the service contracts with MSC and COSCO as the agreements on which Count II is based, *see* Complaint ¶ 48 (alleging that the “foregoing conduct by each Respondent” is not accordance with “its respective service contract with MCS”), and the Complaint repeatedly alleges breach of those service contracts. *See* Complaint, ¶ 7 (alleging that MSC and COSCO “refus[ed] to perform even under [their] limited service contracts”); *id.* ¶10 (alleging that they “began flouting their contractual service commitments” under their Service Contracts); *id.* ¶17 (alleging that “each Respondent has grossly flouted its contractual service commitment”); and *id.* ¶ 25 (alleging that they provided service “not in accordance with the rules and practices contained in their Service Contract[] with MCS”).

Complainant’s allegation that MSC engaged in a “practice” not in accordance with its service contract is also simply a pure breach of contract claim, or an attempt to assert a claim for serial breaches of contract. A claim for breach of a service contract is a claim for breach of contract. The Commission has no jurisdiction over breach of contract claims and Count II must be dismissed. *See Cargo One v COSCO Containers*, 28 S.R.R. 1635, 1645 (FMC 1998)(“[a]llegations essentially comprising contract law claims should be dismissed unless the party alleging the violations successfully rebuts the presumption that the claim is no more than a simple contract breach claim.”); *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 FMC LEXIS 11, at *55 (ALJ April 17, 2014)(claims alleging a “failure to address the MQC shortfall under the service contract” and other contract administration issues, are “inherently contract claims reserved for the arbitrator and are not within the Commission’s jurisdiction to decide.”). If

Complainant believes it has breach of contract claims they should be arbitrated as required under the parties' contract.²

II. COUNTS III AND IV ALLEGING DISCRIMINATION AND UNREASONABLE DISADVANTAGE AGAINST COMPLAINANT AND IN FAVOR OF OTHER SHIPPERS MUST BE DISMISSED FOR FAILURE TO STATE A CLAIM BECAUSE THEY DO NOT ALLEGE ANY DISCRIMINATION AS TO PORTS.

Counts III and IV, alleging claims under 46 U.S.C. §§ 41104(a)(5) and (9) also fail to state a claim as a matter of law. Under their express terms, those provisions prohibit discrimination only with respect to ports and not with respect to shippers. These counts must be dismissed.

For service pursuant to a service contract, the plain language of § 41104(a)(5) prohibits discriminatory practices *only* “in the matter of rates or charges with respect to any port,” and the plain language of § 41104(a)(9) prohibits “any undue or unreasonable preference or advantage” or “any undue or unreasonable prejudice or disadvantage” *only* “with respect to any port.” These limitations to ports only, and not to shippers, in the scope of the discrimination and preference prohibitions with respect to service contracts were a key part of the deregulatory reforms enacted by the Ocean Shipping Reform Act of 1998, Pub. L. 105-258 (“OSRA”). Claims of discrimination among shippers can, post-OSRA, be pursued only for carriage under a tariff, and not for carriage under a service contract. *Compare* 46 U.S.C. §§ 41104(a)(4) and (8)(prohibiting discrimination and unreasonable preference or disadvantage generally) *with* 46 U.S.C. §§ 41104(a)(5) and

² To the extent that consideration of the current service contract between MSC and Complainant, FMC Contract No. 21-104TPC dated July 15, 2021, is necessary, the “incorporation by reference” doctrine allows such consideration without converting a Rule 12(b)(6) motion into one for summary disposition where, as here, Complainant has “‘relied on the terms and effect of a document in drafting the complaint’ and that document is thus ‘integral to the complaint.’” *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 2014 FMC LEXIS 11, at *31 (ALJ April 17, 2014)(citing and quoting *David v. HSBC Bank*, 691 F.3d 1152, 1160 (9th Cir. 2012)).

(9)(prohibiting discrimination and unreasonable preference or disadvantage only as to ports under service contracts).³

OSRA's legislative history confirms this deregulatory limitation of the prohibitions of former Sections 10(b)(5) and 10(b)(9) of the 1984 Shipping Act, now 46 U.S.C. §§ 41104(a)(5) and (9), to protect only ports, and not shippers, from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. *See Global Link Logistics*, 2014 FMC LEXIS 11, at *3-4 ("The Act permits a common carrier to charge different rates to similarly situated shippers in service contracts"); *id.*, at *59-63 (discussing the legislative and regulatory history). As explained in the Senate report accompanying the final bill:

[t]he Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at a locality, not to circumstances where the actions are targeted at a particular shipper or ocean

³ Prior to OSRA, discrimination between shippers in contract carriage was also prohibited, leading to a regulatory system under which shippers could, for example, "me-too" the service contracts of other similarly situated shippers to obtain the same terms. *See, e.g., California Shipping Line Inc. v. Yang Ming Marine Transport Line*, 25 S.R.R. 1213 (FMC1990)(recognizing the "me-too" right but denying relief as the Complainant had not shown it was "similarly situated" to the allegedly favored shipper). The Commission has recognized that OSRA's elimination of the regulatory scheme prohibiting discrimination between shippers in contract carriage is a major pro-competitive benefit. *See Federal Maritime Comm'n, The Impact of the Ocean Shipping Reform Act of 1998* (Sept. 2001)("OSRA Study"), at 2 ("Numerous pro-competitive reforms enacted under OSRA to increase industry market responsiveness focused on service contracting. The ability to deal with individual carriers, the elimination of the "me-too" requirement for similarly situated shippers, and the confidentiality of certain commercially sensitive service contract terms have fostered a shift to contract carriage -- carriers generally report that 80 percent or more of their liner cargo currently moves under service contracts."); *id.* at 21 ("Prior to OSRA, carriers and shippers could access the contract rates and terms of their competitors directly, and relied heavily on the published essential terms of service contracts as benchmarks in their own negotiations. Contract terms achieved by a particular shipper were published and made available to any similarly situated shipper through the "me-too" provision. Accordingly, carriers were more reluctant to grant specific contract concessions for a particular shipper since their other customers could request equal treatment. The transparency of information constrained the commercial benefits of contract specialization for both carriers and shippers."). These benefits have been recognized by shippers as well. *See id.* at 63 ("Most shippers noted that OSRA has made contracting easier because they can negotiate individual contracts. Shippers added that OSRA has placed greater reliance on the marketplace, which in turn has forced them to improve their market intelligence skills to remain competitive."), available at https://www.fmc.gov/wp-content/uploads/2019/04/OSRA_Study.pdf.

transportation intermediary which happens to be associated with that locality.”

S. Rep. No. 61, 105th Cong., 1st Sess., at 28 (1998). The lead sponsor of the bill in the Senate confirmed the point during the Senate floor consideration:

The most significant benefit of S. 414 is that it will provide shippers and common carriers with greater choice and flexibility in entering into contractual relationships for ocean transportation and intermodal services. It accomplishes this through seven specific changes to the Shipping Act of 1984. . . It eliminates the requirement that similarly situated shippers be given the same service contract rates and service conditions. *It eliminates the current restrictions on individual common carriers engaging in discriminatory, preferential, or advantageous treatment of shippers...*

144 Cong. Rec. 6109, 6124 (April 21, 1998)(statement of Sen. Hutchinson)(emphasis added).

There are no allegations in the Complaint even referencing any specific port, much less alleging discriminatory practices as to rates or charges “with respect to any port,” or undue or unreasonable preference or advantage or prejudice or disadvantage “with respect to any port” as required to state a claim under the Shipping Act for contract carriage. This case is thus distinguishable from the only case MSC has located allowing a claim under 46 U.S.C. § 41104(a)(9) to proceed, where an amended Complaint expressly asserted that “Respondent imposed undue and unreasonable prejudice or disadvantage with respect to the Port of Aden.” *Marine Transport Logistics*, 2019 WL 5206007, at *6. Even with that allegation—which has not been made and cannot be made here⁴—the ruling expressed doubt that a violation of § 41104(a)(9) had been pled. *Id.*, at *7. MSC has not located any case allowing claims to proceed under 46 U.S.C. §§ 41104(a)(5) or (9) where no allegation of discrimination against a port was made, and given the clarity of the statutory language and the very limited circumstances under which these

⁴ All of the carriage at issue came to a single U.S. West Coast port, Los Angeles-Long Beach, so allegations of discrimination between ports would be a logical impossibility in any event.

statutory provisions authorize claims this is unsurprising. *See also Port Elizabeth Terminal and Warehouse Corp. v. The Port Authority of New York and New Jersey*, 2019 FMC LEXIS 8, at *38-39 (ALJ Mar. 25, 2019)(dismissing allegations based on Section 41104(a)(9) because the “case [did] not involve common carriers, tariffs, or service contracts”).

The Complaint does not allege discriminatory conduct or any unlawful preference or disadvantage with respect to any port, and therefore Counts III and IV must be dismissed.⁵

III. COUNT V ALLEGING REFUSAL DEAL SHOULD BE DISMISSED FOR FAILURE TO STATE A CLAIM, OR ALTERNATIVELY DISPOSED OF SUMMARILY

Complainant’s refusal to deal claim (Count V), which is based on a “service contract, which is continuous and ongoing,” Complaint ¶ 54, also must be dismissed for failure to state a claim. Proving an unlawful refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10) requires that Complainant show that “(1) the respondent is a common carrier; (2) who actually refused to deal or negotiate; and (3) in doing so acted unreasonably.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2020 FMC LEXIS 216, at *12-13 (FMC Oct. 29, 2020)(citations omitted)(Commission affirmance of ALJ dismissal of unsupported refusal to deal claim for failure to state a claim). Here only the first element is established as MSC is a common carrier, but the allegations of the Complaint are insufficient to plead the second element, an actual refusal to deal or negotiate, or the third, an unreasonable refusal to deal or negotiate.

Beyond merely reciting the statutory language of section 41104(a)(10), which is of course insufficient to plead a claim, Complainant alleges in support of its refusal to deal claim that

⁵ While it is not necessary to go outside the Complaint to dismiss these counts, it is worth noting that at his deposition discussing the Complaint, which he verified, Complainant’s CEO expressed the opinion that carriers should not be permitted to discriminate between large and small shippers, and did not say a word about any supposed discrimination as to ports. Master Dep. at 104:20-105:8. The discovery Complainant has sought concerns alleged discrimination between shippers, not between ports, and none so far discloses any supposed discrimination as to ports.

“several ocean carriers refused to negotiate or provide service contracts to MCS, and those that did provide such service contracts, including the Respondents named herein, refused to provide more than a fraction of the cargo capacity that MCS requested and needs.” Complaint ¶ 6. The Complaint also alleges that these carriers engaged in a “common practice of refusing to perform even under those limited service contracts.” *Id.* ¶ 7; *see also id.* ¶ 28 (“Respondents’ actions in the course of negotiating their Service Contracts with MCS and providing service to MCS pursuant to those Service Contracts constitute unreasonable refusals to deal or negotiate with MCS.”).

Complainant’s counsel has stipulated, and its CEO who verified the Complaint “absolutely” agreed at his deposition, that the Complaint does not intend to make any allegation that MSC conspired or colluded with COSCO or any other party as to the conduct alleged, and that Complainant had no evidence of such collusion or conspiracy with COSCO or any other carrier as to the conduct alleged.⁶ Complainant’s refusal to deal claim thus can no longer be based on any suggestion of collective or collusive activity by carriers, but only on MSC’s individual conduct. Having abandoned any suggestion that it is alleging any collusion or conspiracy, Complainant’s refusal to deal claim, to the extent it is not simply a breach of contract claim, depends fundamentally on allegations that MSC either: (1) “refused to negotiate or provide service contracts to MCS,” or (2) “refused to provide more than a fraction of the cargo capacity that MCS requested and needs.” Complaint ¶ 6.

Complainant cannot state a claim on either basis. As an initial matter, Complainant concedes that MSC entered into a service contract with Complainant, *see* Complaint ¶ 40, so the

⁶ *See* Master Dep. at 114:14-20 (“MR. REYNOLDS: Thank you. Yeah, that’s correct; our Complaint was not intended to allege any unlawful conspiracy between the two Respondents named in the Complaint and was not intended to convey our possession or the existence of specific hard evidence of such conspiracy.”). *See also id.* at 132:15-23 (Q. . . again, as we said before, you are not intending to allege that somehow you have specific evidence that MSC coordinated with Cosco or any other carrier. A. Absolutely not. We’re not saying that. We are -- well, wait a second. We don’t have specific evidence of that, that’s correct.”]

refusal to do so alleged as to other carriers cannot be the basis of a refusal to deal claim against MSC. *See Chilean Nitrate Sales Corp. v. San Diego Unified Port District*, 24 S.R.R. 1314, 1318 (1988)(dismissing unsupported refusal to deal claim and holding that the Commission did not have to address whether the refusal to deal or negotiate was unreasonable if there was no refusal).

Complainant also cites no authority for the proposition that it is a refusal to deal to offer a service contract for less than the quantity a shipper might desire, and there is none. The Shipping Act does not guarantee the right to enter into a contract, much less a contract with any specific terms. *See New Orleans Stevedoring Company v. Port of New Orleans*, 29 S.R.R. 345, 352 (I.D. 2001), *adopted* 29 S.R.R. 1066, 1071 (FMC 2002), *aff'd mem.*, 80 Fed. App'x 681 (D.C. Cir. 2003). “A refusal to deal allegation requires more than that a request is denied.” *Maher Terminals, LLC v. Port Authority of New York and New Jersey*, 2015 FMC LEXIS 1, at *62 (FMC Jan. 30, 2015). Moreover, the allegation that MSC and other carriers “refus[ed] to perform even under those limited service contracts,” Complaint ¶ 7, by its own terms simply states a breach of contract claim outside the Commission’s jurisdiction. *See pp. 1-2, 4, supra and pp. 13-17 infra*. The refusal to deal claim should thus be dismissed for failure to state a claim.

To the extent it is necessary to look to anything in the record to dispose of the claim, the record establishes irrefutably that MSC did not “refuse[] to provide more than a fraction of the cargo capacity that MCS requested and needs.” *Cf.* Complaint ¶ 6. To the contrary, the record of the negotiations provided by Complainant, and confirmed by the deposition testimony of Complainant’s manager overseeing the negotiations, confirms that MSC offered Complainant more than double the cargo capacity Complainant initially accepted. As part of the negotiations as to various terms of the contract, MSC offered a quantity of 1400 TEUs, and Complainant took these negotiations and its own needs and other bids into account and awarded MSC only 660

TEUs.⁷ Further, contrary to the allegations in the Complaint that MSC refused to provide Complainant with more cargo capacity, this record of the negotiations confirms that it was MSC that pushed to increase Complainant's allotment from 660 TEUs to 728 TEUs for the current contract.⁸ [REDACTED]

[REDACTED]

[REDACTED] | [REDACTED]

[REDACTED]

Again, Count V can be dismissed as pled, especially now that Complainant has foresworn any intent to hold MSC liable for the actions of other carriers under some kind of conspiracy or collusion theory. But if the Court finds it necessary to go beyond the Complaint to resolve the matter, none of the further discovery ordered or contemplated in this case can create a genuine material issue as to the facts already discovered confirming the absence of any valid claim for refusal to deal. The record of the negotiations attached as Exhibit 1 has been provided in discovery that was full between the parties on the issue. Complainant's manager overseeing the negotiations has confirmed that this record shows exactly what it appears to show: Complainant negotiated terms of the proposed contract, took all of the information it gained in those negotiations into

⁷ See Schantzenbach Dep. 43:1-61:17 & RX-9, attached hereto as Exhibit 1.

⁸ For example, Complainant's negotiator sought to "fit MSC into our carrier mix," which her supervisor testified meant that "[w]e, basically, look at all of the feedback that we get, and we look at the lanes, we look at the amounts, we look at the rates, and determine who can be slotted where." Schantzenbach Dep. at 53:2-17, see RX-9, at 4. MSC was hoping for an award of "at least 1400" TEUs, Schantzenbach Dep. at 54:14-16, see RX-9, at 2-3, 8, but Complainant awarded only 660 TEUs, later raised at MSC's urging to 728 TEUs. Schantzenbach Dep. at 56:12 ("We signed for 728"), at 59:20-60:12 (Complainant could only make 660 TEUs "work . . . looking at our forecasts, the ports, the volumes, the rates") & at 57:17-58, 60:22-61, see RX-9 at 1-2 (explaining how the 660 TEUs was raised at MSC's suggestion to 728 TEUs).

⁹ Master Dep. at 38:8-40:3; 106:5-107:19.

¹⁰ See *id.*

account in light of its own needs, and proceeded on its own decision to award MSC less than half of the contract quantity MSC offered.¹¹ MSC itself negotiated the quantity up from 660 TEUs to 728 TEUs.¹²

It cannot be Complainant's answer to these incontrovertible facts that more discovery is to be taken. Rather, as provided in Fed. R. Civ. P. 56(d) and (e), which inform this Court's consideration of the matter under Rule 12 of the Commission's Rules of Procedure, 46 C.F.R. § 502.12, Complainant must either provide evidence to create a genuine issue that its negotiators did not say and do what the record shows they said and did, or provide "specified reasons" why it cannot do so.

Claims based on allegations squarely contrary to fact can only go on so long. Count V should be dismissed, or if the Court finds it necessary to address the factual matter that confirms that the refusal to deal claim has no basis, and never had any basis, it should be disposed of summarily.

V. COUNT I ALLEGING UNREASONABLE PRACTICES SHOULD BE DISMISSED BECAUSE IT IS INHERENTLY A BREACH OF CONTRACT CLAIM.

As set out at pp. 1-2, 4, 10 *supra*, the Shipping Act expressly bars the Commission from hearing breach of contract claims. As stated in 46 U.S.C. § 40502(f), "[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court." Here, the parties have not agreed that the Commission can hear claims for breach of the service contract at issue in the Complaint; to the contrary, they have expressly agreed that contract claims should be arbitrated. *See* Service Contract ¶ 14.2 ("Any disputes arising out of or in connection with this Agreement which cannot be resolved by the Parties themselves shall be

¹¹ *See* nn. 7-8, *supra*.

¹² *See id.*

resolved by binding arbitration conducted in New York and in accordance with the rules of the Society of Maritime Arbitrators.”).¹³

To determine the limits of its jurisdiction, the FMC examines “whether a complainant’s allegations are inherently a breach of contract, or whether they also involve elements peculiar to the Shipping Act.” *Cargo One*, 28 S.R.R. at 1645. Unless there are such peculiar elements, a Complainant cannot rebut, in the words of *Cargo One*, “the presumption that the claim is no more than a simple contract breach claim” *Id.* See also *Western Respondent Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994) (barring claims “couched in terms of alleged violations of the 1984 Act” that are “really breach of contract claims”).

The Complaint as filed could have been construed as alleging conduct going beyond a breach of contract, because it suggested concerted, collusive, and parallel activity among carriers to renege on their contractual commitments to force Complainant and other shippers into the spot market. See, e.g., Complaint ¶¶ 4-7, 11, 15-17. As set forth above, however, Complainant has unequivocally abandoned any suggestion of concerted or collusive activity and, thus, its claim challenges only MSC’s own unilateral conduct. See p. 9, *supra*.

Having abandoned any suggestion that it is alleging any collusion or conspiracy, Complainant has confirmed repeatedly that its allegations depend fundamentally on allegations that MSC breached its contractual obligations to Complainant. In a submission to the Court early in the discovery period, Complainant stated that its Complaint “alleges a course of conduct in which Mediterranean Shipping failed to provide . . . contractually agreed-upon space for MCS Industries cargo on Mediterranean Shipping’s ships, in violation of the Shipping Act.”

¹³ Because the service contract is integral to the Complaint it can be considered without converting a motion to dismiss into a motion for summary disposition. See n. 2, *supra*.

Complainant's Report of Potential Disputes (filed Oct. 8, 2021), at 2. Complainant has more recently described its Complaint as alleging that MSC engaged in "a course of unjust and unreasonable conduct in which [MSC] failed to provide the agreed space for Complainant's cargo on [MSC]'s ships and unreasonably refused to deal or negotiate with Complainant in that connection, in violation of the Shipping Act." Motion to Compel at 14.

Complainant's characterization of its unreasonable practices claim as consisting of a "course of conduct" in allegedly failing to perform as agreed under a contract simply states a breach of contract claim. Courses of dealing are in fact often integral to contract claims. For example, Section 202(5) of the Restatement of Contracts (Second), states that "[w]herever reasonable, the manifestations of the intention of the parties to a promise or agreement are interpreted as consistent with each other and with any relevant course of performance, course of dealing, or usage of trade." Stripped of the baseless and now abandoned claims of collusion,¹⁴ Count I is now inherently a contract claim, based on allegations that MSC engaged in a pattern of contractual violations supposedly to some improper end. That COSCO is alleged to have also done so independently does not change matters; it merely shows that Complainant has pled two separate breach of contract claims in one Complaint.

The inherently contractual nature of what is left of Complainant's unreasonable practices claim is further demonstrated by the fact that it cannot be sustained if there is, in fact, no breach of contract. Since the claim is now simply that MSC engaged in repeated contractual violations for an improper purpose, it depends inherently on a breach of contract being shown. Couching the claim in terms of a "course of conduct" or a pattern or practice of such violations, or simply terming

¹⁴ The Complaint, at ¶¶15-16, even went so far as to describe the Commission-approved and overseen alliances in which MSC and Cosco (separately) participate as "collusive." Whatever the effect of such allegations in trying to portray the Complaint as stating something other than a breach of contract claim, they have now been abandoned.

them unreasonable cannot alter this inherent fact. *See Global Link Logistics*, 2014 FMC LEXIS 11, at *52-55 (granting motion to dismiss on claims involving the parties’ “course of dealing” were “inherently contract claims” and did not “involve elements peculiar to the Shipping Act”) (internal citations omitted). The Commission is no more empowered to adjudicate multiple breach of contract claims against one party than it is to adjudicate single breach of contract claims against multiple parties. The Shipping Act bars such claims from being adjudicated by the Commission, and the parties’ agreement provides that they be arbitrated and not brought here.

This case is unlike those in which the Commission has held that a Complainant successfully rebutted “the presumption that the claim is no more than a simple contract breach claim.” *See Cargo One*, 28 S.R.R. at 1645. Those cases either held that conduct beyond a simple allegation of breach that might support a breach of contract claim could also independently serve as the basis for a Shipping Act violation, or sought to invalidate the exercise of a contract provision as unreasonable. *See, e.g., Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.*, 1992 FMC LEXIS 86, at *36-37, 42 (ALJ Nov. 23, 1992) (finding violation of the Shipping Act when a complaint included allegations of improperly preparing shipping documents and altering bills of lading with false information); *Greatway Logistics Group, LLC v. Ocean Network Express PTE, Ltd.* 2021 FMC LEXIS 107, at *1, 6 (ALJ July 16, 2021)(noting that “the Commission and the district court [were] adjudicating different issues” when breach of contract claims were to be heard in litigation, and independent claims related to “actions undertaken . . . to collect certain freight, demurrage, and storage charges from a non-party” fell within the Commission’s jurisdiction).

Here, however, the breach of contract itself is the fundamental basis of Complainant’s claim, and the wrongful conduct alleged is likewise simply a breach of contract, though sometimes dressed in pejorative language. *See also Global Link Logistics*, 2014 FMC LEXIS 11, at *55

(“failure to address the MQC shortfall under the service contract” and other contract administration issues, are “inherently contract claims reserved for the arbitrator and are not within the Commission’s jurisdiction to decide.”); *DNB Exports LLC, and AFI Elektromekanik Ve Elektronik San. TIC. Ltd. STI v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S., Barsan Int’l, Inc., and Impexia, Inc.*, 2011 FMC LEXIS 26, at *12 (ALJ July 7, 2011) (finding that a counterclaim did “not allege a violation of the Shipping Act and [had] not attempted to ‘rebut[] the presumption that the claim is not more than a simply breach of contract claim’ over which the Commission does not have subject matter jurisdiction”) (internal citations omitted).

Unlike *Tractors and Farm Equipment Ltd.* and *Greatway*, cited above, Complainant does not allege any course of conduct that extends beyond claims that MSC did not comply with its contract. For example, the Complaint does not allege improper preparation and falsification of shipping documents—as in *Tractors and Farm Equipment Ltd.* The complaint also does not, for example, require interpretation of demurrage and detention practices for adherence to Shipping Act requirements—as in *Greatway*. See 46 C.F.R. 545.5 (providing guidance for the Commission in “assessing the reasonableness of demurrage and detention practices and regulations”). Without allegations that extend beyond alleged breaches of contract, the Commission cannot exercise subject matter jurisdiction. See *DNB Exports LLC*, 2011 FMC LEXIS 26, at *12; see also *Cargo One*, 28 S.R.R. at 1645 (concluding that alleged violations are “appropriately before the agency” when “the alleged violation raises issues beyond contractual obligations”). If MSC did not breach the contract, it cannot have done so for the alleged purpose of forcing Complainant into the spot market rather than providing it contractually allocated space. The claim is thus simply a breach of contract claim “couched in terms of alleged violations of the 1984 Act,” which, as held in *Western Overseas Trade and Dev. Corp.* is outside the Commission’s jurisdiction.

Were the Commission to entertain such a claim there would be nothing left of Congress' express direction that it has no jurisdiction over breach of contract claims. A Complainant could invoke the Commission's jurisdiction, as here, merely by asserting (with no support) a pattern of breaches of contract, or that some improper purpose is served by the breach; thus overriding the parties' express agreement that breach of contract claims are to be decided by arbitration. The Commission has never assumed jurisdiction of a claim under such circumstances—where the allegations all depend directly on an alleged breach of contract—and it would violate Congress' intent were it to do so.

The inherently contractual nature of Complainant's claims is further supported by the fact that its reparations claim is calculated as the difference between (a) the rates MSC alleges it would have paid had contractually allocated space been provided and (b) the higher rates it allegedly had to pay in the spot market when that contractually allocated space was not provided.¹⁵ This is the classic measure of damages for a breach of contract, further reinforcing that the unreasonable practices claim is in reality a contract claim. *See* Restatement (Second) of Contracts § 347 (stating that “[c]ontract damages are ordinarily based on the injured party's expectation interest”); & *id.* at § 344(a) (defining “expectation interest” as the “interest in having the benefit of his bargain by being put in as good a position as he would have been in had the contract been performed”). The Complaint, now that its suggestions of collusion and conspiracy are admittedly no longer being pursued, thus presents precisely the kind of breach of contract case “couched in terms of alleged violations of the 1984 Act” that the Commission confirmed in *Western Overseas Trade and Dev. Corp.* is outside the Commission's jurisdiction.

¹⁵ *See* RX-13, attached as Exhibit 2.

CONCLUSION

The Complaint should be dismissed in its entirety for failure to state a claim, or in the alternative as to Count V disposed of summarily.

Respectfully submitted,

/s/ Michael Scanlon

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Counsel for Respondent

MSC Mediterranean Shipping Company S.A.

Dated: December 23, 2021

CERTIFICATE OF SERVICE

I certify that, on December 23, 2021, a true and current copy of the foregoing Motion to Dismiss was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following:

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/s/ John Longstreth

**ATTACHMENT -
CITED PAGES FROM
MASTER DEPOSITION**

Confidential



Transcript of **Richard Master**

Wednesday, November 17, 2021

MCS Industries, Inc. v. Cosco Shipping Lines Co., LTD

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Reference Number:«Job.JobNo»

1 BEFORE THE FEDERAL MARITIME COMMISSION

2 MCS INDUSTRIES, INC., - - - Docket No. 21-05

3 Complainant,

4

5

6 -VS-

7

8

9 COSCO SHIPPING LINES
10 CO., LTD. AND MSC
11 MEDITERRANEAN SHIPPING
12 COMPANY S.A.,

13

14 Respondents.

15

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19 - - -
20 VIRTUAL DEPOSITION OF RICHARD MASTER

21

22 **CONFIDENTIAL TRANSCRIPT**

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AGENCY

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28

1 VIRTUAL DEPOSITION OF RICHARD MASTER,
2 a witness herein, called by the Respondents,
3 for examination, taken pursuant to the
4 Commission's Rules of Practice and Procedure,
5 by and before Karen A. Nickel, a Certified
6 Realtime Reporter and a notary public in and
7 for the Commonwealth of Pennsylvania, held
8 remotely with all parties appearing from their
9 respective locations, on Wednesday, November
10 17, 2021, at 9:00 a.m.

11 COUNSEL PRESENT:

12
13 For the Complainant:
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29 - - -

1 received other reports, you know, during that
2 -- that indicated that there were other
3 statistics and that the -- there was a
4 dislocation of, and, you know, we may be
5 referring to different time frames and, et
6 cetera, but go ahead.

7 BY MR. LONGSTRETH:

8 Q. Well, I'm not -- really, the point
9 is not to sort of contradict anything that you
10 may have said. The point is really to see if
11 we can have a general understanding that this
12 time period we're talking about, May to July of
13 2021, that was a period where there was greatly
14 increased demand for container ship services
15 over the previous year; would you acknowledge
16 that that's correct?

17 A. Over the previous year which had
18 more COVID -- you are correct, that factories
19 were closed down. There was less demand for
20 service. These are factories in the Orient
21 were closed up. We're talking about the
22 corridor between China and the United States.

23 I would say, yes, in the prior year
24 that demand was, certainly, less as a result of
25 COVID.

1 Q. And then greatly increased demand in
2 the summer of 2021?

3 A. And then it jumped up. But,
4 overall, was there a massive increase in
5 requirement over a period of years, that -- it
6 certainly wasn't 33 percent.

7 Q. Okay. I don't know what you mean by
8 "period of years." We're trying to talk about
9 the summer of 2021.

10 A. Well, you are, and I'm sort of
11 adding more context --

12 Q. And I -- I understand.

13 A. If you let me, please, I'm trying to
14 add context to this and, you know, certainly,
15 the shippers were increasing the supply of
16 vessels. They were having, certainly,
17 difficulty in maintaining crews. The ports
18 were having difficulties. Certainly there was
19 a massive disruption that allowed the prices
20 to, you know, rise, correct.

21 Q. So there was an increase in demand
22 and then you are also mentioning that with port
23 disruptions, labor crews with COVID and all,
24 that was creating some supply disruptions as
25 well.

1 So there was less supply at a time
2 there was increased demand; is that correct?

3 A. Yeah. That's correct.

4 Q. Yeah. And generally -- I'm sorry?

5 A. Well, but it didn't justify that
6 your client would ignore, you know, for three
7 months, the MCS's requirements under contract.

8 Q. We'll get to that.

9 A. Okay.

10 Q. And I understand, I have that point
11 -- it's now on the record.

12 I would like to address that later
13 but, as I said, we're going through the
14 Complaint now, we're going through the
15 allegations. So let me just ask my next
16 question before you volunteer your view of the
17 case.

18 Let me ask my next question, which
19 is generally under economic theory, when demand
20 is up and supply is down, do prices go up or
21 down?

22 A. In general economic theory, if there
23 is a functioning market where there are not
24 these consolidations and concentrations of
25 power, you are correct, that prices will go up

1 I'm not sure that the infrastructure
2 legislation is, you know, sufficiently funding,
3 you know, an upgrading of the ports. I
4 certainly think that the carriers have
5 something to complain about and, you know, the
6 environment needs, certainly needs to be
7 addressed.

8 And I'm working on that with members
9 of Congress and I had that discussion with the
10 President of the United States as well.

11 Q. I agree. I think that's very
12 important. Nobody thinks we're in a very good
13 place right now. And it does, as you point
14 out, it creates a lot of harms. MSC would love
15 to be running its ships through these ports
16 faster. I think everybody knows that.

17 Let's go on to a -- let's go on to
18 just finish this line of question before we
19 take the break.

20 I'm going back to the situation,
21 suppose I'm a carrier and I have ten shippers
22 that want service contracts with me but I only
23 have room for five, I can only accommodate
24 five. Okay.

25 You know, what's your view as to

1 what I'm supposed to do with that? I mean, I
2 can't give everybody everything they want, you
3 know.

4 A. Well, they shouldn't discriminate,
5 you know, between large and small shippers, you
6 know. If they can only allocate a certain
7 number of -- a certain percentage of what the
8 requirement is, they should not discriminate.

9 You know, I understand that they
10 have some exemption from, you know, antitrust
11 regulation and that they can get together and
12 figure out what service should be given at
13 various ports and coordinate things like that.
14 I'm not sure if they have the ability to do
15 that with individual shippers, but it seemed
16 that we were only getting a portion and, you
17 know, I don't want to -- I'm going into an area
18 that I'm unfamiliar with. Sorry. Let me --

19 Q. Okay. And I understand. We're
20 going to -- yeah, I mean, there's --

21 A. We could go into all these things.

22 Q. It's complex. I'll go on with --

23 A. It is a matter of policy, and this
24 case is very particular and, you know, there
25 are certain things that we present that are

1 contextual but, you know, the allegations are
2 specific and about a specific set of
3 circumstances. And maybe we should, you know,
4 focus on that.

5 Q. Okay. Fine. But setting
6 discrimination aside and all of that, I guess
7 the final point is, if there is more demand for
8 service contracts than a carrier can fulfill,
9 then the carrier is going to have to do
10 something, right, either deny certain people
11 contracts altogether or cut back on the amount
12 that it gives to -- gives to people that come
13 in?

14 Is there another option that you can
15 see?

16 A. I understand the argument but --
17 but, you know, I think that we did not get the
18 contracts that we needed. Now, MSC, you know,
19 reconsidered what it did allocate for us and
20 gave us slightly more, you know, and we
21 appreciated that. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

1 Q. So you're saying actually --

2 A. I understand your argument that, you
3 know, there is a limited capacity, demand is
4 higher, and so you can't contract for more than
5 your capacity.

6 Q. Right. But you're saying, just to
7 make clear that it's on the record, [REDACTED]

8 [REDACTED]

9 [REDACTED]

10 [REDACTED]

11 A. Yeah, well --

12 Q. Which trade --

13 A. We --

14 Q. Which trade --

15 A. I'm sorry.

16 Q. I'm saying which trade name was that
17 in? Which trade --

18 A. I don't know.

19 Q. Okay. That's fine.

20 A. You know, let me say this, we got
21 only 50 percent of what we needed. And, yes,
22 demand was going up, but we don't think demand
23 was going up by 50 percent, so that something
24 else was going on, and we need to investigate
25 that. We think the Commission needs to

1 had a colloquy with counsel. I had a series of
2 questions that were designed to find out if
3 there was -- if they had any evidence or
4 firsthand knowledge of unlawful conspiracy and
5 collusion between MSC and Cosco, and I
6 understand from conversations with
7 Complainant's counsel that they weren't
8 intending to allege that and don't have such
9 evidence.

10 So I think based on that
11 understanding, I won't go through all the
12 allegations to try to establish that with the
13 witness. Is that your understanding?

14 MR. REYNOLDS: Thank you.
15 Yeah, that's correct; our Complaint was not
16 intended to allege any unlawful conspiracy
17 between the two Respondents named in the
18 Complaint and was not intended to convey our
19 possession or the existence of specific hard
20 evidence of such conspiracy.

21 THE WITNESS: And that's my
22 understanding as well.

23 MR. LONGSTRETH: Okay. So I
24 think if that's the case, you know, this
25 talking about parallel and seemingly

1 gives them an opportunity to, you know, to
2 discriminate.

3 And then we say here, in May, July
4 -- through July 2021, they did discriminate.
5 They clouded their contractual service
6 commitments, provided MCS with a small fact
7 base required under the service agreement. I
8 mean, you know, that's really, that goes to the
9 essence of the case.

10 BY MR. LONGSTRETH:

11 Q. Right. That's each Respondent;
12 right?

13 A. That's each Respondent, not a
14 coordinated -- yeah.

15 Q. Okay. That's all I wanted -- okay.
16 That's really what I wanted to clarify there,
17 that we are not -- again, as we said before,
18 you are not intending to allege that somehow
19 you have specific evidence that MSC coordinated
20 with Cosco or any other carrier?

21 A. Absolutely not. We're not saying
22 that. We are -- well, wait a second. We don't
23 have specific evidence of that, that's correct.

24 Q. Paragraphs 19 to 28 are basically
25 legal assertions. I think we can sort of -- I

**ATTACHMENT -
CITED PAGES FROM
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Transcript of Susan Schantzenbach

Wednesday, December 8, 2021

MCS Industries, Inc. v. Cosco Shipping Lines Co., LTD

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Reference Number: 111156

1 BEFORE THE FEDERAL MARITIME COMMISSION

2 MCS INDUSTRIES, INC., - - - Docket No. 21-05

3 Complainant,

4 -VS-

5 COSCO SHIPPING LINES

6 CO., LTD. AND MSC

7 MEDITERRANEAN SHIPPING

8 COMPANY S.A.,

9 Respondents.

10 - - -

11 VIRTUAL DEPOSITION OF SUSAN SCHANTZENBACH

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15 AGENCY

1 VIRTUAL DEPOSITION OF SUSAN

2 SCHANTZENBACH, a witness herein, called by the
3 Respondents, for examination, taken pursuant to
4 the Commission's Rules of Practice and
5 Procedure, by and before Karen A. Nickel, a
6 Certified Realtime Reporter and a notary public
7 in and for the Commonwealth of Pennsylvania,
8 held remotely with all parties appearing from
9 their respective locations, on Wednesday,
10 December 8, 2021, at 9:00 a.m.

11 COUNSEL PRESENT:

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20 - - -

21 I N D E X

22 WITNESS PAGE

23 Susan Schantzenbach

24 By Mr. Longstreth 5

1 In any event, I'm asking Ms. Schantzenbach if
2 she can pull out that exhibit now which we're
3 marking RX 9. It's MSC 1930 to 35 and MSC 1985
4 to 1990 is what comprises that exhibit.

5 THE WITNESS: Okay. I have
6 number -- it's No. 8, 1930 through 1935.

7 BY MR. LONGSTRETH:

8 Q. I think you have it. We won't ask
9 you to hold it up again.

10 And I think we already talked about
11 this, but I'm going to ask you some questions
12 now about the negotiation of the 2021 service
13 contract, and this was a time when
14 Ms. Montesano -- this was before her maternity
15 leave was when the 2020 contract was
16 negotiated; is that correct?

17 A. 2021 contract.

18 Q. Yes.

19 A. Uh-huh.

20 Q. Okay. You have to give a yes or no
21 because you're nodding and saying uh-huh, and
22 I'm not sure the transcript would pick that up.

23 A. Yes.

24 MR. REYNOLDS: Object to that
25 question as vague.

1 MR. LONGSTRETH: I'm sorry?

2 Okay.

3 BY MR. LONGSTRETH:

4 Q. So with respect to the negotiation
5 of the 2021 contract, that's the contract
6 that's currently in effect now, that became
7 effective May 1, 2021. So I'm going to ask,
8 did you have any direct contact with MSC in the
9 negotiation of that contract?

10 A. I don't believe, other than being
11 copied on E-mails.

12 Q. Okay. And I think we already
13 discussed your role with respect to that, that
14 you oversaw Ms. Montesano, and then you
15 described the process with Mr. Yoffi, I believe
16 it was.

17 Was anybody else involved in --
18 well, strike that. Did you discuss the --
19 well, I'm sorry.

20 At the time you were negotiating the
21 contract, you mentioned that you discussed that
22 you had meetings with Ms. Montesano and Mr.
23 Yoffi; am I recalling that correctly?

24 MR. REYNOLDS: Objection,
25 misstates the testimony.

1 MR. LONGSTRETH: Well, I'm
2 asking her for her recollection.

3 BY MR. LONGSTRETH:

4 Q. I believe you testified -- correct
5 me if I'm wrong -- that in the course of the
6 negotiations of the 2021 contract, you would
7 meet from time to time with Ms. Montesano and
8 Mr. Yoffi to discuss the negotiations. Do you
9 recall that correctly, or do I not?

10 A. Yes. Mr. Yocco.

11 Q. Oh, did I say Yoffi? Yocco. Okay.
12 Okay.

13 And was there anybody else that you
14 were discussing the MSC 2021 contract with at
15 your company, MCS?

16 A. As I --

17 MR. REYNOLDS: Objection,
18 vague as to time.

19 MR. LONGSTRETH: Well, at any
20 time. Go ahead.

21 THE WITNESS: I believe the
22 final -- the last numbers of the numbers, our
23 president, Josh MacNeel, reviewed.

24 BY MR. LONGSTRETH:

25 Q. Okay.

1 A. That -- that would have been it.

2 Q. Okay. And had you been involved in
3 negotiations for prior contracts; for example,
4 the 2020 contract?

5 A. Yes.

6 Q. Was it along the same lines as 2021,
7 Ms. Montesano was the point person, and you
8 were overseeing her?

9 A. Yes.

10 Q. Okay. And do you recall if the
11 process of negotiation -- strike that.

12 Please feel free to take a break,
13 take a glass of water whenever you need. We're
14 probably going to want to take a break within
15 the next few minutes anyway. But let me just
16 finish this one line of questioning.

17 The process, the contracting process
18 started with MCS issuing -- I think it was a
19 Request for Proposals; is that correct?

20 MR. REYNOLDS: Objection,
21 vague as to time.

22 MR. LONGSTRETH: I thought I
23 said 2021, but if I didn't --

24 BY MR. LONGSTRETH:

25 Q. The 2021 process started with MCS

1 issuing a Request for Proposals; is that
2 correct?

3 A. Correct.

4 Q. Okay. And Ms. Montesano was the one
5 who sent that around to various shipping
6 companies?

7 A. Correct.

8 Q. Okay. And was that same process
9 used in 2020?

10 A. Yes.

11 Q. And in 2019?

12 A. Yes.

13 Q. And in every year since you took
14 over your supervisory roles in 2016?

15 A. Yes.

16 Q. Okay. And then the various shipping
17 lines would respond to the RFP with proposals;
18 is that correct?

19 A. Yes.

20 Q. And then MCS would consider the
21 proposals and make awards; is that correct?

22 A. Yes.

23 Q. And --

24 A. There may have been, you know,
25 discussions on rates until they were finalized,

1 but, yes.

2 Q. Sure. Right. In other words,
3 you're saying sometimes you would make an
4 award, but then there would be some additional
5 discussions with the awardee before the
6 contract -- is that correct?

7 THE COURT REPORTER: I'm
8 sorry, you cut out again at the end.

9 MR. LONGSTRETH: I did.

10 BY MR. LONGSTRETH:

11 Q. So I think what you're saying is
12 that sometimes after the award, there would be
13 some additional conversations with the awardees
14 until the contract was signed; is that correct?

15 A. Correct.

16 Q. Okay. And I'm going to draw your
17 attention now to Page MSC 1934, and you can see
18 that it's an E-mail from Ms. Montesano to
19 Mr. DeMarino. You're not copied on this.

20 Have you ever seen this E-mail?
21 This was the Friday, March 19th, 11:39 a.m.
22 E-mail.

23 A. No. I don't recall this.

24 Q. Okay. Do you recall there was a
25 time during the negotiation of the 2020

1 contract when either Ms. Montesano's E-mail or
2 your company's E-mail was down for a period of
3 time?

4 A. It was actually 2021 contract
5 negotiations, yes, our E-mail -- our E-mail was
6 down here at MCS.

7 Q. Okay. Do you remember for how long?

8 A. It was several days.

9 Q. Okay. In any event, Ms. Montesano
10 here is saying the E-mail is back up. And then
11 she lists a couple of issues, maybe three,
12 four. She says, it's ten days free time off,
13 flat per diem rate, rate reductions and a min
14 or max MQC.

15 Do you recall discussing any of
16 those issues with Ms. Montesano?

17 A. I can't recall those specifically.

18 Q. Do you know what ten days free time
19 off is?

20 A. Yes.

21 Q. What is it?

22 A. It's the per diem ten days or, you
23 know, free days off port that we have to unload
24 the container and get it back to the port
25 before we have to start paying per diem.

1 Q. Okay. And do you recall if the
2 contract provided for ten days free time off?

3 A. The final contract?

4 Q. Yes.

5 A. I believe -- I believe it is. I'm
6 not 100 percent sure.

7 Q. Okay. Do you recall if that's at
8 all ports or just at Qingdao?

9 A. That's where the amendment came in.
10 I believe the initial contract was one way, and
11 then the amendment came through that it was
12 changed, the free time was changed.

13 Q. Okay. And it says, was any flat per
14 diem rate approved. Do you know if the
15 contract had a flat per diem rate?

16 A. I don't recall.

17 Q. Okay. And then it said any rate
18 reductions you were going to look into. Do you
19 recall any discussion about rate reductions in
20 connection with the negotiation of the 2021 MSC
21 service contract?

22 A. I can't say for sure. I know,
23 typically, we talk about rates. This year
24 there were very minimal changes in the initial
25 rates is my recollection.

1 Q. Okay. And then it says, was there a
2 min or max MQC. Do you know what an MQC is?

3 A. Yeah. It's -- I'm thinking of the
4 acronym, what it stands for right now. It's,
5 basically, the containers that you're moving.

6 Q. Okay. If I said minimum quantity
7 commitment, would that sound familiar to you?

8 A. Yeah, yeah.

9 Q. Okay.

10 A. Yes.

11 Q. And do you know what Ms. Montesano
12 means by a min or max MQC?

13 A. I would assume she means the minimum
14 number or the maximum of containers.

15 Q. Okay. And you see if we're going up
16 the string, she's telling -- she's telling Tom
17 on Friday morning her E-mail is back up.

18 Friday afternoon she's asking for an update.

19 And we go to Page 1933, you're still
20 not copied. So she says, rates same, you can
21 see Tom DeMarino says, rates same, per diem
22 remains at 195, working on confirmation of the
23 ten days free time.

24 Do you recall anything about the
25 discussions and negotiations between the

1 parties on the ten days free time?

2 A. I don't remember specifics, but I
3 know that we, you know, always liked to try to
4 get as many days as possible.

5 Q. So you were asking for ten days?

6 A. (Witness nodded head affirmatively.)

7 Q. Is that correct or don't you know?

8 A. I'm not sure.

9 Q. Okay.

10 A. We -- I'm not sure.

11 Q. Okay.

12 MR. REYNOLDS: I will just
13 note for the record, Mr. Longstreth, that MSC
14 1933 appears to have some redactions in it.

15 MR. LONGSTRETH: Right. Those
16 are -- that's rate information. And the reason
17 I'm doing that is because I don't want to have
18 a confidentiality issue when I ask her about
19 this. But I don't think it's going to be
20 relevant. I'm not going to ask her -- I'm not
21 going to ask her about those. But thanks for
22 your observation.

23 BY MR. LONGSTRETH:

24 Q. So then, Brittany then on Monday
25 says, hope I can get all of my contracts

1 figured out. Need this missing information to
2 see if I can fit in MSC to our carrier mix.

3 Do you know what she means by "fit
4 MSC into our carrier mix"?

5 A. Yeah.

6 MR. REYNOLDS: Objection,
7 calls for speculation.

8 MR. LONGSTRETH: Well, I'm
9 asking her if she knows. That doesn't call for
10 speculation. That calls for her saying whether
11 she knows or doesn't know, Matt.

12 BY MR. LONGSTRETH:

13 Q. Go ahead.

14 A. We, basically, look at all of the
15 feedback that we get, and we look at the lanes,
16 we look at the amounts, we look at the rates,
17 and determine who can be slotted where.

18 Q. Okay. And I take it in at least one
19 prior year, MSC wasn't slotted anywhere;
20 correct? You didn't use the one year; do you
21 remember that?

22 A. I do believe, yes, there was a year.
23 I do believe so.

24 Q. Okay. And then the next E-mail up
25 on Tuesday, Tom says, good news, liner

1 confirmed ten free days per diem; do you see
2 that?

3 A. Yes.

4 Q. Okay. And then there's some other
5 stuff I'm not going to ask about because, as
6 your counsel points out, that's redacted
7 because it's rate information that we didn't
8 want in the public record.

9 And then Brittany responds about 15
10 minutes later, she says, thanks, we'll use that
11 in determining the allocation for MSC this
12 year; correct? Do you see that?

13 A. Yes.

14 Q. Okay. And then Tom responds, hoping
15 for at least 1400 if possible. Do you see
16 that?

17 A. Yes.

18 Q. Do you know what MSC's award was in
19 the 2020 contract?

20 A. The 2020 contract?

21 Q. Right. The previous one to this one
22 that's being negotiated here.

23 A. I don't -- I can't say exactly.

24 Q. Okay. Do you know if it was around
25 1400, at least by the end of the contract?

1 A. I don't recall.

2 Q. And now we're finally getting on
3 Page 1930 to an E-mail you were copied on.
4 This is Brittany, Wednesday, March 24th, and it
5 says, MQC award. Okay.

6 A. Okay.

7 Q. And -- I'm sorry, I skipped over
8 one. I'm sorry. I'm at Page 1931. I'm sorry.
9 I skipped over one too quickly.

10 So there is a Wednesday, March 24th
11 award -- E-mail that you're copied on. It says
12 MCS Industries - MQC award, and you're copied
13 on that?

14 A. Uh-huh.

15 Q. Okay. And at this point, and you
16 can see Tom is suggesting an E-mail -- I'm
17 sorry, Tom is suggesting an allocation to
18 protect weekly allocation; do you see that?

19 A. What are you referring to?

20 Q. Okay.

21 A. The one above that, the one at 1:14?

22 Q. Yeah, the one at 1:14, yeah, I would
23 suggest the below to protect weekly allocation.
24 Do you recall receiving this E-mail?

25 A. I don't recall. I'm reading it now.

1 Okay. I see -- I see what he wrote.

2 Q. Okay. Do you recall that MSC's
3 award to -- I'm sorry, that MCS' award to MSC
4 under the 2020 contract was 660 TEUs?

5 A. You're saying that's what 2020
6 allocation was?

7 Q. No. The 2021. The 2021. So the
8 award -- do you recall -- well, let me ask you
9 this question.

10 Do you recall how many TEUs MCS
11 awarded MSC under the 2021 contract?

12 A. We signed for 728.

13 Q. You signed for 728. Do you remember
14 what the initial award was from Brittany? Do
15 you remember what she initially awarded?

16 A. I don't.

17 Q. Do you remember if it was 660 TEUs?

18 A. I don't recall.

19 Q. Okay. There's an E-mail on that,
20 but for some reason, it isn't in this string.

21 In any event, do you recall whether
22 Tom DeMarino suggested increasing the award
23 from 660 to 702 TEUs to protect weekly
24 allocation; do you recall that? I mean, I know
25 you can see it here. I'm asking what you

1 recall.

2 A. I don't really recall that.

3 Q. Okay. And then now I'm going to the
4 next page on 1930. This appears to be a
5 breakdown of the final contract. So it's got
6 104 TEUs from -- well, it doesn't really say.
7 Okay.

8 Do you recall what the final
9 allocation was -- I'm sorry. Do you recall
10 that the final award is 728 TEUs; is that
11 correct?

12 A. Correct.

13 Q. Okay. Do you recall how that was
14 broken up between the three lanes that were
15 awarded?

16 A. Yes.

17 Q. And how was it broken up?

18 A. Fuzhou had one full -- this is how I
19 remember it -- one full container a week, times
20 52 weeks, roughly. And then Tianjin -- these
21 are all to the West Coast -- Tianjin was three
22 full a week, and Qingdao was three full
23 containers a week as well. So the two, six and
24 the six is the TEU.

25 Q. Okay. So it's one, three and three

1 for FEUs, or full containers, 40-foot
2 equivalent units, and then two, six and six for
3 TEUs of 20-foot equivalent units; is that
4 correct?

5 A. Correct.

6 Q. And that gets to 728. Okay.

7 MR. LONGSTRETH: I think this
8 would be a good time for a break. We have been
9 going, I think, for over an hour. So can we
10 take -- why don't we do another break before
11 lunch. So why don't we take a break of five
12 minutes, ten minutes and then pick up and do a
13 stretch before lunch.

14 THE WITNESS: That's fine.

15 MR. LONGSTRETH: Why don't we
16 say five of 12:00.

17 (Short recess taken.)

18 BY MR. LONGSTRETH:

19 Q. Ms. Schantzenbach, are you ready to
20 go ahead?

21 A. Yes.

22 Q. Okay. Great. Thanks. So I'm going
23 to go back and just finish with the document we
24 were discussing right before the break, and I
25 want to draw your attention to -- and this,

1 again, is Respondent's Exhibit 9, and I want to
2 draw your attention to the second page of that
3 exhibit, which is Bates numbered 1931, and the
4 E-mail that starts at the bottom of that page
5 from Brittany to Tom DeMarino copied to you,
6 Wednesday, March 24th at 1:00 p.m.

7 Do you see that?

8 A. Yes.

9 Q. Okay. And it says, hello Tom, happy
10 to be signing with MCS -- I'm sorry, happy to
11 be signing with MSC again, exclamation point,
12 exclamation point.

13 Do you see that?

14 A. Yes.

15 Q. Okay. And is it your understanding
16 that this is the E-mail where Brittany is
17 informing Mr. Marino of the award to MSC under
18 the 2021 -- the 2021 contract?

19 A. Yes.

20 Q. Okay. And if you see, the total
21 allocation is 660 TEUs; do you see that? This
22 is on the carryover Page 1932?

23 A. Yes.

24 Q. And it's split up 48 to Fuzhou, 300
25 to Qingdao and 312 to Tianjin; do you see that?

1 A. Yes.

2 Q. Okay. Ms. Montesano says, I could
3 only make the below MQC quantities work.
4 That's the second sentence of her E-mail to
5 Mr. DeMarino.

6 Do you see that?

7 A. Yes.

8 Q. Do you know what she meant by that?

9 A. My interpretation is, again, looking
10 at our forecasts, the ports, the volumes, the
11 rates, that's what she meant by that. Those
12 quantities for those ports.

13 Q. Okay. So the award went -- so then
14 MSC was accepting the offer, but only as to 660
15 TEUs; is that correct?

16 MR. REYNOLDS: Objection. I
17 think you said MSC instead of MCS.

18 MR. LONGSTRETH: MCS, I'm
19 sorry.

20 BY MR. LONGSTRETH:

21 Q. So basically what she was saying is
22 -- let me withdraw that question and ask, so is
23 it your understanding that she was saying that
24 given those factors that you had discussed, she
25 would only make the MQC quantity of 660 TEUs

1 work; is that what you understood from her
2 E-mail?

3 A. Yes.

4 Q. Okay. And then as we later
5 discussed, it later because 728, because Fuzhou
6 was raised from 48 to 104, making one FEU or
7 two TEUs a week; correct?

8 A. Correct.

9 Q. And Qingdao was raised from 300 to
10 312 so that you could have three FEUs or six
11 TEUs a week for 52 weeks; is that correct?

12 A. Correct.

13 Q. And that led to the allocations that
14 you testified to earlier, one, three and three
15 on an FEU basis and two, six and six on a TEU
16 basis; is that correct?

17 A. Correct.

18 MR. LONGSTRETH: Thanks. I'm
19 done with that now.

20 I would like to have marked as the
21 next exhibit, which I guess is 10, and I
22 apologize for not doing -- for not announcing
23 this before the break because what I would like
24 to do is put a few documents together, and it
25 may take a while to do that.

EXHIBIT 1

RE: MCS INDUSTRIES - MQC AWARD

From: Brittany Montesano <bbell@mcsframe.com>
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Date: Mon, 29 Mar 2021 11:46:05 -0400

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Yes thank you for taking the time to do this! We appreciate it as we want weekly space ☺ Please file so we can get a contract number to origin to begin booking for May asap

From: thomas.demarino@msc.com <thomas.demarino@msc.com>
Sent: Monday, March 29, 2021 11:43 AM
To: Brittany Montesano <bbell@mcsframe.com>
Subject: RE: MCS INDUSTRIES - MQC AWARD

In Order to get the weekly allocation I revised below... Hope this will work... 728 teu...

Port_of_Disc harge	POD_Re gion	Rates_Valid _From	Rates_Vali d_To	Number_of_Week_of_Cont ract_Period	Total Nominatio n_Teu	Weekly Nominatio n_Teu
Long Beach (USLGB)	USA WC (PSW)	1/May/2021	30/Apr/20 22	52	104	2
Long Beach (USLGB)	USA WC (PSW)	1/May/2021	30/Apr/20 22	52	312	6
Long Beach (USLGB)	USA WC IPI via PSW	1/May/2021	30/Apr/20 22	52	312	6

Sensitivity: Internal

From: Brittany Montesano <bbell@mcsframe.com>
Sent: Wednesday, March 24, 2021 1:24 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Cc: Susan Schantzenbach <SSchantz@mcsframe.com>
Subject: RE: MCS INDUSTRIES - MQC AWARD

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

We can make your suggestions work.

Last year we could have shipped DOUBLE our MQC but if you recall we were not getting space at our contracted rates and had to take an increase to even try to get some. We are not tracking to hit it for the current contract year. MCS had to partner with multiple freight forwarders and use market rates just to get

freight to the US. I hope they will not be disappointment as we are disappointed in the performance of our contract last year but are willing to sign a new one this year!

From: thomas.demarino@msc.com <thomas.demarino@msc.com>
Sent: Wednesday, March 24, 2021 1:14 PM
To: Brittany Montesano <bbell@mcsframe.com>
Cc: Susan Schantzenbach <sschantz@mcsframe.com>
Subject: RE: MCS INDUSTRIES - MQC AWARD

I would suggest the below to protect weekly allocation...

Lane	MSC	
Fuzhou to LA	48 TEUs	would suggest 78 for 1.5 per week
Qingdao to LA	300 TEUs	Would suggest 312 for 6 per week
Tianjin to LA	312 TEUs	Ok 6 per week
Total Allocation	660 TEUs	702 TEU

Last year we had 1400 so this will disappoint trades but so be it... Let me know...

TD

Sensitivity: Internal

From: Brittany Montesano <bbell@mcsframe.com>
Sent: Wednesday, March 24, 2021 1:01 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Cc: Susan Schantzenbach <sschantz@mcsframe.com>
Subject: RE: MCS INDUSTRIES - MQC AWARD

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Hello Tom,

We are happy to be signing with MSC again!!

I could only make the below MQC quantities work. We will use the rates WITH CHASSIS. Please make sure it does read the 10 days free off port that we discussed.

- Please note the MAJORITY of what we will be booking with MSC out of Qingdao will be on 20GP as we move cut glass that weighs out before it cubes out. Please confirm this type of Equipment is OK to assume we will have access to weekly.
- Please read my notes below especially for Fuzhou as I am only assigning what my system is forecasting which keyword in that is forecast 😊

Lane	MSC	EXPECTATION
Fuzhou to LA	48 TEUs	This origin is a mix of 20GP and 40GP/40H. You have moved this lane in the past- according to our forecast it appears not every week will have a shipment.--- Do you suggest raising the MQC any to take into account for this??
Qingdao to LA	300 TEUs	6 20GP per week- occasionally will be booking 40's but the initial plan is for you to handle all of our glass shipments
Tianjin to LA	312 TEUs	3 40GP/ 40H per week
Total Allocation	660 TEUs	

Please send the contract asap as we would like to get it signed to you so our factories can start booking for May.

Thanks,

Brittany Montesano
MCS Industries, Inc.
2280 Newlins Mill Road
Easton, PA 18045
610-253-6268 ext 6962

From: thomas.demarino@msc.com <thomas.demarino@msc.com>
Sent: Tuesday, March 23, 2021 10:27 AM
To: Brittany Montesano <bbell@mcsframe.com>
Subject: Re: MCS INDUSTRIES

Hoping for at least 1400 if possible.

Thomas DeMarino
District Sales Manager
Mediterranean Shipping Co.
(908)210-3026

From: Brittany Montesano <bbell@mcsframe.com>
Sent: Tuesday, March 23, 2021 10:18:34 AM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Thank you! I will use this in determining the allocation for MSC this year!

From: thomas.demarino@msc.com <thomas.demarino@msc.com>
Sent: Tuesday, March 23, 2021 9:57 AM
To: Brittany Montesano <bbell@mcsframe.com>
Subject: RE: MCS INDUSTRIES

Good news
Liner confirmed 10 free days per Diem.
For 10 days chassis the amount will be EC and IPI \$188 and WC \$146
For comparison before for 7 days was added to all in rate: EC and IPI \$134 and WC \$98

TD

Sensitivity: Internal

From: Brittany Montesano <bbell@mcsframe.com>
Sent: Monday, March 22, 2021 4:44 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Hello Tom,

Did you hear on the free time yet?

Really hoping to get all of my contracts figured out, need this missing information o see if I can fit in MSC to our carrier mix.

From: thomas.demarino@msc.com <thomas.demarino@msc.com>
Sent: Friday, March 19, 2021 5:45 PM
To: Brittany Montesano <bbell@mcsframe.com>
Subject: RE: MCS INDUSTRIES

Rates same... perdiem remains at 195... Working on confirmation of the 10 days free time... will know Monday..

TD

Sensitivity: Internal

From: Brittany Montesano <bbell@mcsframe.com>
Sent: Friday, March 19, 2021 5:00 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Hello Tom,

Hoping to get an update- do you think you will have information back for me today or should I be expecting something Monday. I will be working at this all weekend.

From: Brittany Montesano
Sent: Friday, March 19, 2021 11:39 AM
To: 'thomas.demarino@msc.com' <thomas.demarino@msc.com>
Subject: MCS INDUSTRIES

Hello Tom,

Email is back up! I would like to follow-up on our conversation earlier this week.

Was atleast 10 days free time off port approved?
Was any flat per diem rate approved?
Any rate reductions that you were going to look into?
Was there a min or max MQC?

I am going to be gathering all responses today from the steamship lines and see which lanes I could assign after comparing all the rates/ free time/ per diem charges/ port calls etc that is going into our decision this year.

Thanks,

Brittany Montesano
MCS Industries, Inc.
2280 Newlins Mill Road
Easton, PA 18045
610-253-6268 ext 6962

Brittany Montesano
MCS Industries, Inc.
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Sensitivity: Internal

RE: MCS INDUSTRIES

To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Cc: John Ruela (MSC USA) <john.ruela@msc.com>
Date: Thu, 01 Apr 2021 20:21:09 -0400

Hello Tom,
So we get half this year. They have not paid any premium so was thought to get space
We would need to put 1 teu for Fuzhou lane in commitment file or perhaps they can increase a bit
Fuzhou

Anna Kapica
Import Far East Trade

MSC MEDITERRANEAN SHIPPING COMPANY (USA) INC.

420 Fifth Avenue, New York, NY, 10018 USA
T: +1 212 764 4800 x 42612 F: +212-827-1636 W: www.msc.com
As agent for MSC Mediterranean Shipping Company S.A., Geneva
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Kindly make sure the banner is hyperlinked to our Seafood **landing page**:
<https://www.msc.com/seafood>

Lastly, here is the [link](#) to the **MSC Reefer Cargo – Seafood video**.

From: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Sent: Thursday, March 25, 2021 3:16 PM
To: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Cc: John Ruela (MSC USA) <john.ruela@msc.com>
Subject: RE: MCS INDUSTRIES

Look like we will get a reward although less than last year... You can see their explanation below...
Below is the reward...

Lane	MSC	
Fuzhou to LA	78 TEUs	1.5 per week
Qingdao to LA	312 TEUs	6 per week
Tianjin to LA	312 TEUs	6 per week

Total Allocation	702 TEUs	13.5 PER WEEK
------------------	-------------	---------------

I advised we were hoping to do at least 1400 as this year and below their response

From: Brittany Montesano bbell@mcsframe.com
Sent: Wednesday, March 24, 2021 1:24 PM
To: Thomas Demarino (MSC USA) thomas.demarino@msc.com
Cc: Susan Schantzenbach sschantz@mcsframe.com
Subject: RE: MCS INDUSTRIES - MQC AWARD

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Last year we could have shipped DOUBLE our MQC but if you recall we were not getting space at our contracted rates and had to take an increase to even try to get some. We are not tracking to hit it for the current contract year. MCS had to partner with multiple freight forwarders and use market rates just to get freight to the US. I hope they will not be disappointment as we are disappointed in the performance of our contract last year but are willing to sign a new one this year!

td

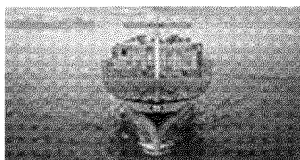
Sensitivity: Internal

From: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Sent: Tuesday, March 23, 2021 9:24 AM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

Hello Tom,
Good news
Liner confirmed 10 free days per Diem.
For 10 days chassis the amount will be EC and IPI \$188 and WC \$146
For comparison before for 7 days was added to all in rate: EC and IPI \$134 and WC \$98

Anna Kapica
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**WITH myMSC GET
YOUR QUOTES INSTANTLY**

[MORE INFO](#)





Sensitivity: Internal

From: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Sent: Monday, March 22, 2021 5:09 PM
To: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Subject: Re: MCS INDUSTRIES

Ok will do. I'd hate to lose this account. Bad for my numbers

Thomas DeMarino
District Sales Manager
Mediterranean Shipping Co.
(908)210-3026

From: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Sent: Monday, March 22, 2021 4:59:25 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

I want to try one more time and blame it on Covid, please wait till tomorrow

Anna Kapica
Import Far East Trade

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YOUR QUOTES INSTANTLY**

[MORE INFO](#)



Sensitivity: Internal

From: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Sent: Monday, March 22, 2021 4:58 PM

To: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Subject: Re: MCS INDUSTRIES

We will probably not be awarded this year. We offered 7 correct?

Thomas DeMarino
District Sales Manager
Mediterranean Shipping Co.
(908)210-3026

From: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Sent: Monday, March 22, 2021 4:56:04 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

Hello Tom,
Unfortunately GVA didn't agree on 10 days. They are reducing the free time for everybody. Please advise what account will say.

Anna Kapica
Import Far East Trade

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**WITH myMSC GET
YOUR QUOTES INSTANTLY**

[MORE INFO](#)



Sensitivity: Internal

From: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Sent: Monday, March 22, 2021 4:47 PM
To: Anna Kapica (MSC USA) <anna.kapica@msc.com>
Subject: FW: MCS INDUSTRIES

Anna can you advise on the 10 days to wrap this up?

TD

Sensitivity: Internal

From: Brittany Montesano <bbell@mcsframe.com>
Sent: Monday, March 22, 2021 4:44 PM
To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

CAUTION: External email. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Hello Tom,

Did you hear on the free time yet?

Really hoping to get all of my contracts figured out, need this missing information o see if I can fit in MSC to our carrier mix.

From: thomas.demarino@msc.com <thomas.demarino@msc.com>
Sent: Friday, March 19, 2021 5:45 PM
To: Brittany Montesano <bbell@mcsframe.com>
Subject: RE: MCS INDUSTRIES

Rates same... perdiem remains at 195... Working on confirmation of the 10 days free time... will know Monday..

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Sensitivity: Internal

From: Brittany Montesano <bbell@mcsframe.com>
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To: Thomas Demarino (MSC USA) <thomas.demarino@msc.com>
Subject: RE: MCS INDUSTRIES

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Hello Tom,

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From: Brittany Montesano
Sent: Friday, March 19, 2021 11:39 AM
To: 'thomas.demarino@msc.com' <thomas.demarino@msc.com>
Subject: MCS INDUSTRIES

Hello Tom,

Email is back up! I would like to follow-up on our conversation earlier this week.

Was atleast 10 days free time off port approved?
Was any flat per diem rate approved?
Any rate reductions that you were going to look into?
Was there a min or max MQC?

I am going to be gathering all responses today from the steamship lines and see which lanes I could assign after comparing all the rates/ free time/ per diem charges/ port calls etc that is going into our decision this year.

Thanks,

Brittany Montesano
MCS Industries, Inc.
2280 Newlins Mill Road
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610-253-6268 ext 6962

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2280 Newlins Mill Road
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EXHIBIT 2
(REDACTED)

MSC Damage Calculation

Tianjin to CA

REDACTED

REDACTED

Month	Weeks	Contracted		Monthly		
		FEU	Qty Per	Total	Received	Qty Short
		Week		Contracted		
May	4	3		12	0	12
June	5	3		15	7	8
July	4	3		12	12	0
				39	19	20

Qingdao to CA

REDACTED

Month	Weeks	Contracted		Monthly		
		FEU	Qty Per	Total	Received	Qty Short
		Week		Contracted		
May	4	3		12	0	12
June	5	3		15	0	15
July	4	3		12	0	12
				39	0	39